

THE THREE CITY AIRBNB BUSINESS GUIDE

Varanasi. Jaipur. Indore. Full setup under Rs 3 lakh per city. Airbnb data: Airbtics March 2026. Rental data: 99acres May 2026.

This guide covers everything you need to start an Airbnb in three of India's best Tier 2 markets. Market data, full budget breakdown with inclusions and exclusions, P&L; model, and the exact questions to ask before you sign a lease.

Three City Snapshot (Airbtics, March 2026)

City	Airbtics Grade	Occupancy	ADR/Night	Annual Revenue	Active Listings	Full Setup Cost
Varanasi	A -- Top 5%	39%	Rs 2,837	Rs 4.10L	1,175	Rs 2.05L
Jaipur	B+ -- Top 16%	35%	Rs 2,921	Rs 3.82L	1,884	Rs 2.35L
Indore	Not graded	36%	Rs 2,253	Rs 3.01L	254	Rs 2.05L

All revenue figures are median. Top quartile performers earn 2-3x median. Setup cost includes AC, TV, and full furnishing from scratch.

VARANASI

Grade A | Top 5% in India | Spiritual Tourism | Grade A Market

Market Overview

Metric	Data	Source
Median occupancy	39%	Airbtics Mar 2026
Average daily rate	Rs 2,837/night	Airbtics Mar 2026
Annual revenue (median)	Rs 4.10 lakh	Airbtics Mar 2026
Active listings	1,175	Airbtics Mar 2026
Supply growth YoY	+62%	Airbtics Mar 2026
International guests	36.6%	Airbtics Mar 2026
Peak months	Oct, Nov, Dec, Feb	Airbtics seasonality
Weakest month	May (19.5% occupancy)	AirROI Feb 2026
Tourist arrivals 2024	11 crore+	UP Tourism Dept

Full Setup Budget -- Varanasi (Unfurnished 2BHK, Good Tourist Area)

Item	Amount	Notes
Monthly rent (first month)	Rs 12,000	Verified: 99acres, near Lanka/Assi Ghat area
Security deposit (2 months)	Rs 24,000	Standard in Varanasi

Beds x2 with mattresses	Rs 32,000	Mid-range, guest quality
Bed frames	Rs 10,000	
Sofa set (living room)	Rs 16,000	
Dining table and chairs	Rs 7,000	
Wardrobes x2	Rs 10,000	
Split AC 1.5 ton	Rs 32,000	Essential for summer bookings
TV 32 inch	Rs 12,000	Guest expectation
Geyser	Rs 4,000	
Fans if not fitted (x3)	Rs 6,000	
Curtains all rooms	Rs 5,000	
Kitchen setup (utensils, crockery, kettle)	Rs 7,000	
Linen (3 sets per bed, towels)	Rs 8,000	
Decor, wall art, plants	Rs 8,000	Critical for photos
WiFi setup and first month	Rs 2,500	
Professional photography	Rs 8,000	Non-negotiable. Do not skip.
Miscellaneous (lock, bulbs, hangers)	Rs 4,000	
TOTAL	Rs 2,15,500	Under Rs 3 lakh

JAIPUR

Grade B+ | Top 16% in India |
Heritage Tourism | Destination
Weddings

Market Overview

Metric	Data	Source
Median occupancy	35%	Airbtics Mar 2026
Average daily rate	Rs 2,921/night	Airbtics Mar 2026
Annual revenue (median)	Rs 3.82 lakh	Airbtics Mar 2026
Active listings	1,884	Airbtics Mar 2026
Supply growth YoY	+40.6%	Airbtics Mar 2026
International guests	21.2%	Airbtics Mar 2026
Peak months	Oct, Nov, Dec, Jan	Airbtics seasonality
Best areas for Airbnb	Bani Park, Civil Lines, C-Scheme	Proximity to Palace, Hawa Mahal

Full Setup Budget -- Jaipur (Unfurnished 2BHK, Tourist Area)

Item	Amount	Notes
Monthly rent (first month)	Rs 15,000	Verified: 99acres, Bani Park/Civil Lines

Security deposit (2 months)	Rs 30,000	Standard in Jaipur
Beds x2 with mattresses	Rs 35,000	Rajasthani design option adds value
Bed frames	Rs 10,000	
Sofa set	Rs 20,000	
Dining table and chairs	Rs 10,000	
Wardrobes x2	Rs 12,000	
Split AC 1.5 ton	Rs 32,000	Essential. Rajasthan summers are extreme.
TV 32 inch	Rs 12,000	
Geyser	Rs 4,500	
Fans x3	Rs 7,000	
Curtains	Rs 6,000	
Kitchen setup	Rs 8,000	
Linen (3 sets per bed, towels)	Rs 9,000	
Decor -- Rajasthani theme adds ADR	Rs 12,000	Heritage themed decor gets higher ratings
WiFi setup and first month	Rs 2,500	
Professional photography	Rs 10,000	Jaipur properties photograph beautifully
Miscellaneous	Rs 4,500	
TOTAL	Rs 2,55,500	Under Rs 3 lakh

INDORE

Grade -- | Lowest Competition | 254 Listings | First Mover Advantage

Market Overview

Metric	Data	Source
Median occupancy	36%	Airbtics Oct 2025
Average daily rate	Rs 2,253/night	Airbtics Oct 2025
Annual revenue (median)	Rs 3.01 lakh	Airbtics Oct 2025
Active listings	254 only	Airbtics Oct 2025
Supply growth YoY	+15.5%	Slowest growth of three cities
International guests	12.5%	Predominantly domestic
Peak months	Dec, Sep	Airbtics seasonality
Best areas for Airbnb	Vijay Nagar, Palasia, AB Road	Near business and restaurants

Full Setup Budget -- Indore (Unfurnished 2BHK, Vijay Nagar Area)

Item	Amount	Notes
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Monthly rent (first month)	Rs 13,000	Verified: 99acres, Vijay Nagar
Security deposit (2 months)	Rs 26,000	Standard in Indore
Beds x2 with mattresses	Rs 32,000	
Bed frames	Rs 10,000	
Sofa set	Rs 16,000	
Dining table and chairs	Rs 8,000	
Wardrobes x2	Rs 10,000	
Split AC 1.5 ton	Rs 32,000	Essential. Indore gets very hot.
TV 32 inch	Rs 12,000	
Geyser	Rs 4,000	
Fans x3	Rs 6,000	
Curtains	Rs 5,000	
Kitchen setup	Rs 7,000	
Linen (3 sets per bed, towels)	Rs 8,000	
Decor, wall art, plants	Rs 8,000	
WiFi setup and first month	Rs 2,500	
Professional photography	Rs 8,000	
Miscellaneous	Rs 4,000	
TOTAL	Rs 2,17,500	Under Rs 3 lakh

Five Things to Do Before You Sign Any Lease

- Visit at least 3 properties in person or via video call. Do not commit to photos alone.
- Check the landlord specifically allows short-term rental or subletting. Not all do. Get it in writing.
- Walk the neighbourhood. Car access, parking, proximity to transport. Guests will ask all of this.
- Research the 10 best performing Airbnb listings in that area. Study their photos, pricing, and reviews.
- Build a 3-month runway buffer on top of your setup cost. Revenue takes time to stabilise.